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March 4, 1949

MEMORANDUM FOR THE PRESIDENT

The following notes contain a summary of the discussion at the 35th meeting of the National Security Council.

1. UNITED STATES POLICY REGARDING TRADE WITH CHINA (NSC 41)

SECRETARY ACHESON summarized the background of the report, as stated in the "Analysis" of NSC 41.

SECRETARY FORRESTAL inquired as to the status of our policy on the shipment of arms.

SECRETARY ACHESON said that on February 8, 1949, the Council had been informed that the President had decided not to suspend or terminate shipments of military aid but that no effort should be made to expedite deliveries. Secretary Acheson added that, since the Chinese Government had now asked us to suspend deliveries, our dilemma had been solved.

SECRETARY SAWYER said that, with respect to the administration of the policy proposed in NSC 41, he felt that UK cooperation was very important. SECRETARY ACHESON agreed and said he thought that the UK would so cooperate.

THE NATIONAL SECURITY COUNCIL:

Adopted NSC 41 without change.

NOTE: NSC 41 subsequently submitted to the President for consideration.

2. SUPPLEMENTARY MEASURES WITH RESPECT TO FORMOSA (NSC 37/5; NSC 37/3; Memo for NSC from Executive Secretary, same subject, dated March 3, 1949)

SECRETARY ACHESON read a statement on the Formosan Problem which he asked to be circulated to the Council. He complained that the JCS estimate (NSC 37/5) had not clearly answered the question as to whether the Joint Chiefs recommended that overt military action should be taken by the United States in Formosa either now or at any time in the future. With reference to the third paragraph on page 2 of NSC 37/3 he felt it was obvious that any overt military commitment in Formosa would be unwise at this time.

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With reference to the same paragraph, SECRETARY FORRESTAL said the word "directly" in the phrase "directly vital to our national security" was important in the distinction drawn by the Joint Chiefs between Iceland and Formosa. He added that he had asked General Eisenhower to look into the matter.

SECRETARY ACHESON said that he had interpreted the views of the Joint Chiefs to mean that they did not recommend any overt military commitment in Formosa at this time or under any foreseeable circumstances. Since he was not certain of this interpretation, however, he felt that the Joint Chiefs should be asked to confirm such an interpretation for the Council. He also questioned the statement by the Joint Chiefs in the first paragraph on page 2 of NSC 37/3 that "the United States faces the prospect of strategic impotence on the continent of Asia".

SECRETARY ROYALL referred to the Joint Chiefs' comments as to our many commitments and said that he had recently asked for a survey of our commitments in the whole Pacific area. He said he felt there may be serious differences of opinion as to whether Formosa was not more important than Japan, particularly in the light of the importance of Formosa to the defense of the Philippines and Okinawa.

SECRETARY ACHESON said that the Council had previously rejected and the Department of State did not like the proposal by the Joint Chiefs that minor fleet units be stationed at a Formosan port. Since we had little chance of success in our Formosan aims under any circumstances, the stationing of fleet units there would reduce what little chance we did have to practically nothing.

SECRETARY FORRESTAL inquired how the Department of State would feel if the Joint Chiefs recommended direct military action in Formosa. SECRETARY ACHESON said that he thought such action would be bad. If the Joint Chiefs were to recommend the occupation of Formosa, then the Department of State would recommend attempting taking over the island under the front of international action, first by underground encouragement of a revolution and then UN action to establish a trusteeship for the island. Thus, he said, we might avoid Chinese resentment over direct U. S. intervention as well as having things go to pieces underneath us if we took direct control. He referred to the recent defection to the Communists of the only cruiser in the Chinese fleet and said that military force would not help against that kind of action.

SECRETARY ACHESON then proposed the adoption of NSC 37/5 and added that, in implementing that policy, he hoped for disciplined cooperation within the Government in such a sensitive operation. He cited two examples of the need for restraining evidences of zeal. One was Mr. Lapham's visit to Formosa and his press statement emphasizing the importance with which the U. S. views the island.

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[redacted]

MR. HOFFMAN remarked that if engineers were to be sent to Formosa to implement the program it would be difficult to minimize the appearance of such an official U. S. activity.

SECRETARY ROYALL felt it would be difficult to discourage the influx of refugees from the mainland.

SECRETARY ACHESON admitted the difficulties cited by Mr. Hoffman and Secretary Royall but felt we should attempt to carry out the proposed policies as best we could anyway.

THE NATIONAL SECURITY COUNCIL:

a. Adopted NSC 37/5 without change.

b. Noted a statement by the Secretary of State on the Formosa problem.

c. Agreed that the Joint Chiefs of Staff should be requested to clarify their estimate of the strategic importance of Formosa, as contained in NSC 37/3, with specific reference to confirmation of the Council's interpretation that this estimate means that overt military action by the U. S. in Formosa is not recommended either at this time or under any foreseeable future circumstances.

NOTE: NSC 37/5 subsequently submitted to the President for consideration. The statement by the Secretary of State referred to in b above subsequently circulated for the information of the Council. The action in c above subsequently transmitted to the Secretary of Defense for implementation.

3. U. S. POLICY TOWARD CHINA
(NSC 34/2)

MR. SOUERS pointed out that this paper spelled out how we should "exploit opportunities", in accord with the previously approved China paper.

SECRETARY ROYALL said he wished to state the views of General Wedemeyer although he did not agree with them entirely.

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General Wedemeyer felt that the paper was too weak, that there were a number of anit-communists leaders in East China whom we should support, and that we should support any appreciable resistance whenever we found it.

SECRETARY ACHESON remarked that General Wedemeyer proposed a positive approach, rather than the negative one of paragraph 12.

SECRETARY ROYALL said General Wedemeyer felt the Chinese would resist with our help. In response to SECRETARY FORRESTAL's question, SECRETARY ROYALL said such help should be like what we have been giving the Nationalists.

MR. BUTTERWORTH pointed out that such a course of action would be a decisive change of policy. It would commit us on the mainland and would give the Communists a real propagana issue just when the mass of Chinese wanted peace at any price. General Barr, he said, had reported that the Reds could go anywhere they wanted on the mainland. He did not see how we could commit this Government to help any little anti-communist group. SECRETARY ROYALL agreed.

SECRETARY FORRESTAL asked if we had any propaganda medium in China. MR. BUTTERWORTH said that we had the U. S. Information Service, which was being restricted, and the Voice of America.

MR. HOFFMAN said he felt that NSC 34/2 was our only possible policy at the moment.

THE NATIONAL SECURITY COUNCIL:

Adopted NSC 34/2 without change.

NOTE: NSC 34/2 subsequently submitted to the President for consideration.

4. DEVELOPMENTS WITH RESPECT TO THE SOVIET REPATRIATION MISSION IN THE U. S. ZONE OF GERMANY

SECRETARY ROYALL said that the State and War Departments had given General Clay authority to deal with the situation as he saw fit. General Clay thought that cutting off utilities and services for the eight Russians in Frankfort would force them to leave for "technical" reasons. Apparently this course had not worked, and now Secretary Royall was not sure if this had been a wise decision. He felt that if they did not go after the delivery of the State Department note to the Russian government, we should move them out bodily and escort them over the border.

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SECRETARY ACHESON thought that General Clay should be allowed to handle the situation, provided he achieves an early solution. If he is not successful in the next few days, however, another course should be taken, since it would become ridiculous if such a situation should go on for some weeks.

THE NATIONAL SECURITY COUNCIL:

Discussed the subject in the light of a report by the Secretary of the Army.

5. NSC STATUS OF PROJECTS

THE NATIONAL SECURITY COUNCIL:

Noted the NSC Status of Projects as of February 28, 1949.